

Arabian Cement (Egypt)

Resilient cement prices and attractive valuation warrant a Buy

Company Update

Construction Materials. Egypt

Stock Rating	Target Price	Closing Price
Buy	EGP70.0	EGP57.8

What's Changed	From	To
2026e EPS	9.43	10.0
2027e EPS	9.22	10.9

Strong demand and resilient pricing underpin a more positive outlook

We raise our target price for Arabian Cement Egypt to EGP70 (from EGP55), as we increase our medium-term forecast, reflecting resilient cement prices despite the termination of the quota system and the gov't's decision to curb rising cement prices, supported by stronger-than-expected demand outlook (demand up 8.5% until end-Jun 2026, following c14% Y-o-Y growth in FY25). We also adjust our near-term cost of equity to reflect cuts earlier in the year, and we reduce our risk premium on the name, which we had kept on the higher-end of our coverage range previously to reflect risks of the quota removal impact (already materialised, impact less severe than expected). ARCC trades at an attractive valuation, at 2026e EV/EBITDA of 3.9x, P/E of 5.8x and EV/tonne of USD73; as such, we upgrade our rating on ARCC to Buy, from Neutral. A key upside/downside risk lies in cement prices, as they have been volatile in the past several years.

High demand supports cement prices; expect 2Q26 earnings to be flattish Q-o-Q

Cement demand has continued to grow in 2026 (+8.5% to date), boosted by changes to building permits and ongoing megaprojects, which supported cement prices in 1Q26 at EGP3,207/tonne (vs avg. EGP3,238 in 2H25) despite the quota removal. We expect 2Q26 earnings to be relatively flattish Q-o-Q, at EGP939mn, as we expect a slight increase in cash costs to EGP1,653/tonne (+8% Q-o-Q), driven by higher coal prices, to offset higher sales (+5% Q-o-Q). Sales growth should be supported by broadly stable cement prices, a c2% Q-o-Q increase in local sales volumes and a c41% Q-o-Q rise in export sales. That said, we expect EBITDA margin to contract sequentially by 2pp Q-o-Q to c40.3%.

Earnings growth to continue from a high FY25 base, but at a low single digit

We had previously expected earnings to peak in 2025, but prices and demand have held up much better than expected, and we now expect a 3.3% earnings CAGR through 2030e. We forecast cement prices to average EGP3,267/tonne this year (+12% Y-o-Y), as higher raw material costs (coal prices +21% YTD) and increased demand should more than offset the higher supply in the market post quota removal. That said, we expect a 3% Y-o-Y decline in ARCC's total cement sales volumes (-5% Y-o-Y in local volumes) to offset these positives partially, as market share normalises following the removal of the production quota, driving low single-digit earnings growth. With that said, we expect the company to sustain an EBITDA margin of c40% on average (in line with FY25), as higher prices offset higher costs.

Key Financial Highlights (Dec Year End)

In EGPmn, unless otherwise stated	2025a	2026e	2027e	2028e
Revenue	12,447	13,144	13,528	13,792
EBITDA	5,017	5,132	5,485	5,620
Net income	3,398	3,500	3,810	3,895
EPS (EGP)	9.50	10.04	10.92	11.17
EPS consensus (EGP)	9.50	9.00	8.48	7.16
Price to earnings	6.1x	5.8x	5.3x	5.2x
Dividend yield	9.1%	13.8%	15.0%	15.3%
Net debt (cash) / Equity	(0.5)x	(0.6)x	(0.6)x	(0.7)x
EV / EBITDA	3.9x	3.9x	3.6x	3.6x
ROAE	199.4%	157.0%	131.0%	106.0%
FCF yield	13.5%	16.5%	18.7%	19.5%

Source: Arabian Cement (Egypt), Bloomberg and EFG Hermes estimates

Stock Data

Closing Price	EGP57.8 as of 05 Aug 2026
Last Div. / Ex. Date	EGP5.34 / 12 Apr 2026
Mkt. Cap / Shares (mn)	USD440.0 / 378.7
Av. Daily Liquidity (mn)	USD0.64
52-Week High / Low	EGP59.5 / EGP36.9
Bloomberg / Reuters	ARCC EY / ARCC.CA
Est. Free Float	13.8%

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Data Miner

Investment Thesis

ARCC is a leading cement producer in Egypt, with a clinker capacity of 4.2mtpa and 5.0mtpa of cement production. It enjoys a c4.8% market share, supported by: i) focus on high-demand areas, such as Greater Cairo and Nile Delta; and ii) a fleet for delivery service. ARCC stands out with its cost-conscious approach, allowing it to be one of Egypt's most efficient cement players. This approach gave ARCC a first-mover advantage in transitioning away from natural gas to coal, and it is currently investing in increasing its RDF content in the energy mix. Following a challenging 2020, with the pandemic lockdowns, construction ban and gov't restrictions, the gov't issued a quota system for local production in Jul 2021 to reduce the demand/supply gap, but the quota system ended in May 2025, and the government implemented several measures to curb rising cement prices; however, strong demand kept cement prices resilient during the year.

Valuation and Risks

We value ARCC using a discounted cash flow (DCF) methodology, which yields a target price (TP) of EGP70. Our forecast assume an EPS CAGR of c3.3% (2025e-30e), supported by stronger-than-expected cement prices, contrary to our initial expectation of a price correction following the termination of the quota system. In addition, volumes were robust for the second consecutive year, increasing 14% Y-o-Y in FY25 and 8.5% YTD as of Jun 2026, highlighting the strong demand. As such, we upgrade our rating to Buy (from Neutral), as the sector outlook has turned more positive vs our previous cautious stance following the quota system's termination and the gov't's measures to curb rising cement prices. Better-than-expected cement prices remain a key upside risk.

Dec Year End				
In EGPmn, unless otherwise stated	2025a	2026e	2027e	2028e
Income Statement				
Revenue	12,447	13,144	13,528	13,792
EBITDA	5,017	5,132	5,485	5,620
Net operating profit (EBIT)	4,727	4,814	5,138	5,242
Taxes or zakat	(1,125)	(1,330)	(1,201)	(1,228)
Minority interest	(0)	(0)	(0)	(0)
Net income	3,398	3,500	3,810	3,895
Balance Sheet				
Cash and cash equivalents	3,459	5,239	5,819	6,100
Total assets	8,784	10,750	11,387	11,648
Total liabilities	4,141	4,509	4,319	3,953
Total equity	4,643	6,242	7,068	7,694
Total net debt (cash)	(2,324)	(3,750)	(4,523)	(5,193)
Cash Flow Statement				
Cash operating profit after taxes	3,892	3,803	4,284	4,392
Change in working capital	(324)	(218)	(168)	(156)
CAPEX	(799)	(301)	(300)	(248)
Investments	0	0	0	0
Free cash flow	2,768	3,283	3,816	3,988
Net financing	(895)	(1,510)	(3,236)	(3,707)
Change in cash	1,773	1,780	580	281

Source: Arabian Cement (Egypt), EFG Hermes estimates

Dec Year End				
In EGPmn, unless otherwise stated	2025a	2026e	2027e	2028e
Per Share Financial Summary				
EPS (EGP)	9.50	10.04	10.92	11.17
DPS (EGP)	5.29	7.95	8.65	8.85
BVPS (EGP)	12.3	16.5	18.7	20.3
Valuation Metrics				
Price to earnings	6.1x	5.8x	5.3x	5.2x
Price to book value	4.7x	3.5x	3.1x	2.8x
Price to cash flow	5.6x	5.8x	5.1x	5.0x
FCF yield	13.5%	16.5%	18.7%	19.5%
Dividend yield	9.1%	13.8%	15.0%	15.3%
EV / EBITDA	3.9x	3.9x	3.6x	3.6x
EV / Invested capital	8.1x	7.5x	7.4x	7.5x
ROAIC	132.3%	91.0%	78.8%	76.3%
ROAE	199.4%	157.0%	131.0%	106.0%
KPIs				
Revenue growth (Y-o-Y)	42.6%	5.6%	2.9%	2.0%
EBITDA growth (Y-o-Y)	139.6%	2.3%	6.9%	2.5%
Gross profit margin	40.6%	39.9%	41.2%	41.3%
EBITDA margin	40.3%	39.0%	40.5%	40.8%
Net operating profit (EBIT) margin	38.0%	36.6%	38.0%	38.0%
Effective tax rate	23.8%	25.9%	22.5%	22.5%
Net Debt (Cash) / Equity	(0.5)x	(0.6)x	(0.6)x	(0.7)x
Net Debt (Cash) / EBITDA	(0.5)x	(0.7)x	(0.8)x	(0.9)x

Source: Arabian Cement (Egypt), EFG Hermes estimates

Figure 1: Discounted free cash flow valuation

In EGPmn, unless otherwise stated

	2026e	2027e	2028e	2029e	2030e
COPAT	3,502	3,956	4,057	4,135	4,206
Change in working capital	(218)	(168)	(156)	(159)	
Capex	(308)	(300)	(248)	(261)	(416)
Free cash flow (FCF)	2,975	3,489	3,653	3,715	3,790
Discounted free cash flow	2,975	2,906	2,534	2,147	1,824
PV of free cash flows	12,387				
Terminal value	22,130				
PV of terminal value	10,653				
Total firm value	23,039				
Net debt/(cash)	(3,119)				
Investments	0				
Minority interest	0				
Equity value	26,158				
No. shares (million)	375				
Target price (EGP)	70.0				
Current share price (EGP)	57.8				
Upside/downside potential	21%				

Source: Company data, EFG Hermes estimates

Financial Statements

Income Statement (Dec Year End)

In EGPmn	2025a	2026e	2027e	2028e
Revenue	12,447	13,144	13,528	13,792
COGS	(7,389)	(7,902)	(7,950)	(8,101)
Gross profit	5,058	5,241	5,578	5,690
SG&A	(384)	(449)	(462)	(471)
Other operating inc (expense)	53	21	22	22
EBITDA	5,017	5,132	5,485	5,620
Depreciation and amortisation	(290)	(318)	(347)	(378)
Net operating profit (EBIT)	4,727	4,814	5,138	5,242
Share of results from associates	N/A	N/A	N/A	N/A
Net investment income (loss)	0	0	0	0
Net interest income (expense)	176	338	269	286
Other non-operating inc (exp.)	0	0	0	0
FX gains (loss)	(102)	7	0	0
Net provisions	(78)	(28)	(68)	(69)
Income before taxes or zakat	4,724	5,131	5,339	5,459
Taxes or zakat	(1,125)	(1,330)	(1,201)	(1,228)
Net inc before minority interest	3,599	3,801	4,138	4,231
Minority interest	(0)	(0)	(0)	(0)
Reported net income	3,598	3,801	4,137	4,230
Adjusted net income	3,398	3,500	3,810	3,895

Source: Arabian Cement (Egypt), EFG Hermes estimates

Balance Sheet (Dec Year End)

In EGPmn	2025a	2026e	2027e	2028e
Cash and cash equivalents	3,459	5,239	5,819	6,100
Accounts receivable (current)	1,249	1,319	1,358	1,384
Inventory	1,054	1,188	1,253	1,337
Other debit balances (current)	0	0	0	0
Total current assets	5,762	7,746	8,430	8,821
PP&E (net)	2,914	2,904	2,856	2,726
Goodwill & intangibles	107	100	100	100
Investments (non-current)	0	0	0	0
Other debit balances (non-current)	1	1	1	1
Total non-current assets	3,021	3,004	2,957	2,827
Total assets	8,784	10,750	11,387	11,648
Short term debt	247	523	483	420
Accounts payable (current)	720	883	885	899
Other credit balances (current)	1,927	1,778	1,780	1,789
Total current liabilities	2,894	3,184	3,148	3,107
Long term debt	889	966	812	487
Other credit balances (non-current)	N/A	N/A	N/A	N/A
Total non-current liabilities	1,247	1,325	1,171	846
Total net worth	4,643	6,242	7,068	7,694
Total equity	4,643	6,242	7,068	7,694
Total equity and liabilities	8,784	10,750	11,387	11,648

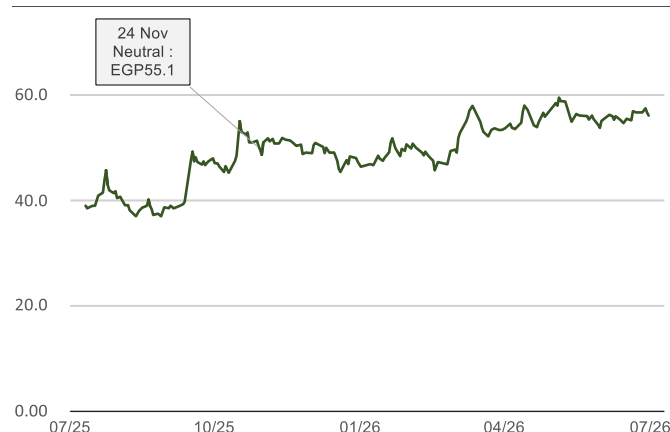
Source: Arabian Cement (Egypt), EFG Hermes estimates

Cash Flow (Dec Year End)

In EGPmn	2025a	2026e	2027e	2028e
Cash operating profit after taxes	3,892	3,803	4,284	4,392
Change in working capital	(324)	(218)	(168)	(156)
Cash flow after change in WC	3,567	3,585	4,116	4,236
CAPEX	(799)	(301)	(300)	(248)
Investments	0	0	0	0
Free cash flow	2,768	3,283	3,816	3,988
Non-operating cash flow	(100)	7	0	0
Cash flow before financing	2,668	3,290	3,816	3,988
Net financing	(895)	(1,510)	(3,236)	(3,707)
Change in cash	1,773	1,780	580	281

Source: Arabian Cement (Egypt), EFG Hermes estimates

Rating and Target Price chart



Rating Distribution

Rating	Coverage Universe%
Buy	56%
Neutral	37%
Sell	6%
Not Rated	0%
Under Review	0%

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Primary Analyst Coverage (Dina Hicham)

Company (Reuters/Bloomberg)	Last Rating	Price (05 Aug 2026)
Al Jouf Cement (3091.SE/JOUF AB)	Sell	SAR4.95
Arabian Cement (Egypt) (ARCC.CA/ARCC EY)	Neutral	EGP57.80
Arabian Cement (Saudi) (3010.SE/ARCCO AB)	Neutral	SAR22.56
City Cement Company (3003.SE/CITYC AB)	Buy	SAR10.19
Eastern Province Cement Company (3080.SE/EACCO AB)	Buy	SAR25.12
Middle East Paper Company (1202.SE/MEPC AB)	Neutral	SAR17.33
Northern Region Cement Company (3004.SE/NORTHCEM AB)	Sell	SAR6.55
Qassim Cement (3040.SE/QACCO AB)	Neutral	SAR43.38
RAK Ceramics (RAKCEC.AD/RAKCEC UH)	Buy	AED2.41
Saudi Cement (3030.SE/SACCO AB)	Buy	SAR28.22
Saudi Ceramics (2040.SE/SCERCO AB)	Neutral	SAR25.32
Southern Province Cement (3050.SE/SOCCO AB)	Neutral	SAR18.90
Tabuk Cement (3090.SE/TACCO AB)	Neutral	SAR7.50
Yamama Cement (3020.SE/YACCO AB)	Buy	SAR23.10
Yanbu Cement (3060.SE/YNCCO AB)	Neutral	SAR15.06

Analyst Coverage (Yousef Hussein)

Company (Reuters/Bloomberg)	Last Rating	Price (05 Aug 2026)
Abu Qir Fertilizers (ABUK.CA/ABUK EY)	Buy	EGP74.00
Advanced Petrochemicals (2330.SE/APPC AB)	Buy	SAR23.46
Aluminium Bahrain (ALBA) (ALBH.BH/ALBH BI)	Buy	BHD0.93
Borouge (BOROUGE.AD/BOROUGE UH)	Neutral	AED2.41
Chemanol (2001.SE/CHEMANOL AB)	Sell	SAR32.46
Egyptian Chemical Industries - KIMA (EGCH.CA/EGCH EY)	Sell	EGP14.07
Electrical Industries Company (1303.SE/EIC AB)	Buy	SAR14.98
Fertiglobe (FERTIGLB.AD/FERTIGLB UH)	Buy	AED2.56
Industries Qatar (IQCD.QA/IQCD QD)	Neutral	QAR10.70
Maaden (1211.SE/MAADEN AB)	Neutral	SAR59.60
Misr Fertilizers Production Company (MOPCO) (MFPC.CA/MFPC EY)	Buy	EGP37.00
National Industrialization Company (2060.SE/NIC AB)	Buy	SAR9.01
Qatar Aluminum Manufacturing (QAMC.QA/QAMC QD)	Neutral	QAR1.53
SABIC (2010.SE/SABIC AB)	Neutral	SAR51.00
SABIC Agri-Nutrients (2020.SE/SAFCO AB)	Neutral	SAR121.30
Sidi Kerir Petrochemicals (SKPC.CA/SKPC EY)	Neutral	EGP16.29
Sipchem (2310.SE/SIPCHEM AB)	Neutral	SAR13.28
Yansab (2290.SE/YANSAB AB)	Buy	SAR30.74